- I never make predictions.

On that last bullet point, I must admit to engaging in that sort of tomfoolery in the past. At one time, I was happy to make wild speculative guesses, but it always surprised me when people actually took them seriously. The tell was a column I wrote in 2005 titled "The Folly of Forecasting."[212] But lots of other folks do take forecasts seriously, and make investments based on these silly prognostications.

So I just stopped. I am not in the forecasting business.[213] My preference is to try to identify some aspect of markets or the economy that is overlooked—a "variant perspective"—and expound on that. It's more productive and useful than pointlessly speculating about the future.

The reality is that expert forecasts are statistically indistinguishable from random guesses. Here is what makes them so dangerous: The more specific and confident the forecaster is, the more likely the viewing public will believe them. And even more amazing, the more self-confident a pundit is, the worse their track record is likely to be. As we saw in "Bad Ideas," the least-accurate guesses come from those who got lucky with one big outlier call.

Consider what you would have had to do over the past few decades to successfully predict the market. The dotcom top, the double bottom in October 2002–March 2003; the highs in 2007, the lows of 2009. The Flash Crash in May 2010. The Q4 2018 20% drop. Sidestepping the 34% drop during the 2020 pandemic; calling the March 2020 lows. Then there was foreseeing the impact of the 2022 rate hiking cycle on stocks AND bonds. Calling those lows in October 2022 for the next bull leg upwards, still in progress as of this writing.

My own track record at making big calls is pretty good, but none of our clients wants me slinging around their retirement monies based on my gut instinct. I sure as hell don't want to either.